ALLIANCE BANK

Type of Paper	Memo
Request For	Approval
Data Classification	For Internal Use Only

Date : 11 Oct 2024

To : Group SME, Commercial and Transaction Banking

From : Customer Excellence Centre, Group Strategy Marketing & Business Development

Subject : Business Current Account Opening Process Streamlining

1.0 PURPOSE

To seek approval to streamline the following Business Current Account Opening processes:-

1.1 Define and standardise the account opening documents requirement for the following entities:-

a. Escrow
b. Joint Management Body / Management Corporation
c. Religious Body
d. Government School
e. Non Government School / Kindergarten
f. Parent-Teacher Association

1.2 Refinement and clarity of the business current account opening requirements and processes.

2.0 BACKGROUND

2.1 A revised account opening document checklist was implemented 1 August 2024. However, some entities were not included although some are mentioned in the MN1005 SOP, Conventional Business Deposit Product. Hence, there is no clear guidelines on type of documents required for opening an account.

2.2 In addition, there was also a need to further refine the supporting documents and validity period of the documents in the checklist to reduce ambiguity and improve the overall customer experience.

2.3 Documents to set up a company are peculiar In Sabah as compared to other states. Therefore, the processes or requirements for account opening for companies in Sabah would need to be different. For example, Professional bodies such as solicitor does not have a trading license and there is no clear guidelines in MN1005 SOP on how to obtain the business registration number for account opening maintenance.

2.4 There are processes not found in the MN1005 SOP and existing processes in the SOP need further refinement and updates to streamline the process.

3.0 BENEFITS

3.1 The main objective of proposed changes is to further improve the account opening turnaround time and simplify the customer journey.

3.2 In addition, by streamlining the processes and documentation requirements, it will minimise rework and audit findings.

4.0 PROPOSED REVISION TO ACCOUNT OPENING DOCUMENT CHECKLIST

4.1 Below are the proposed documents required for various entities during account opening which currently has no existing or clear guidelines.

Proposed Documents	Proposed Document Format	Proposed Validity Period
A. Escrow Below are additional documents required in addition to the existing documents required for the respective entities :-		
1. Copy of letter offer for facility with the bank (if any).	Original Sighted	≤ 3 months
2. Letter of Indemnity to be signed by Director(s) as per the signing mandate in M&A/Constitution. Ensure its stamped.	Original Copy	≤ 3 months
3. Letter of Agreement between all parties stating the purpose of the Escrow account, signing conditions.		
4. Letter of Award/ Letter from regulating body confirming the project details (for development projects only)	Original Sighted	No validity
B. **Joint Management Body / Management Corporation**		
1. Universal Business Banking Application Form signed by all Authorised Signatories as per Minutes of Meeting - For BDS only	Original Copy	≤ 3 months
2. MyKad biometric verification printout of Authorised Signatories - For BDS & DBOS	Printout validated by Sales	≤ 3 months
3. Photocopy of MyKad of Authorised Signatories (Front & Back) - For BDS only	CTC / Original sighted	≤ 3 months
4. Foreigners who are Authorized Signatories ● Valid passport (Expiry date not less than 6 months) and ● Valid work permit (Expiry date not less than 3 months) ● Social Visa or Visit Visa (If there is no valid work permit)		
5. Photocopy of MyKad/Passport of all Office Bearers' who are not Authorised Signatories (Front & Back)		
6. Photocopy of MyKad/ MyKad Verification/ Passport of identified Beneficiary Owner who are not authorised signatories (Front & Back)		
7. Letter of Authorisation (similar to Resolution) indicating a. Intention to open an account and type of account b. BizSmart application c. Mandate to operate account d. Name of Management Body / Joint Management Body as per Certificate of Registration by Regulatory Authority e. Original signatures of Chairman/President and Secretary. *If information is complete in the Minutes of Meeting, Letter of Authorisation is not required.*	Original Copy	≤ 3 months
8. Minutes of Meeting - signed by the Chairman/President and Secretary appointing the bank as their banker and indicating intention to open an account, type of account, BizSmart application, mandate to operate account.	Original Sighted	≤ 3 months

9. Certificate of Establishment of Management Corporation which previously was Certified True Copy by Regulatory Authority.	Original Sighted	NA
~~10.~~ A copy of the Constitution / By-laws. Signed by Chairman/President and Secretary. If customer does not have one, sales will annotate the reason i.e. customer is adopting the Strata Management Act.	Original Sighted	NA
11. Letter of Confirmation Appointment of Office Bearer issued by respective municipal office.	Original Sighted	NA
C. Religious Body		
1. Universal Business Banking Application Form signed by all Authorised Signatories as per Board Resolution - For BDS only	Original Copy	≤ 3 months
2. MyKad biometric verification printout of Authorised Signatories - For BDS & DBOS	Print copy validated by Sales	≤ 3 months
3. Photocopy of MyKad of Authorised Signatories (Front & Back) - For BDS only	CTC / Original sighted	≤ 3 months
4. Foreigners who are Authorized Signatories ● Valid passport (Expiry date not less than 6 months) & ● Valid work permit (Expiry date not less than 3 months) ● Social Visa or Visit Visa (If there is no valid work permit)		
5. Photocopy of MyKad/Passport of all Office Bearers' who are not Authorised Signatories (Front & Back).		
6. Photocopy of MyKad/ MyKad Verification/ Passport of identified Beneficiary Owner who are not authorised signatories (Front & Back).		
7. Letter of Authorisation (similar to Resolution) indicating ● Intention to open an account and type of account ● BizSmart application ● Mandate to operate account ● Original signatures of Chairman/President and Secretary *If information is complete in the Minutes of Meeting, Letter of Authorisation is not required.*	Original Copy	≤ 3 months
8. Minutes of Meeting - signed by the Chairman/President and Secretary appointing the bank as their banker and indicating intention to open an account, type of account, BizSmart application, mandate to operate account.	Original Sighted	≤ 3 months
9. Authorization letter from Main Office or Registered Trustee to confirm on the account opening request (if any).	Original Copy	≤ 3 months
10. Appointment of Office Bearers if the information of the Office bearers if not available in the Minutes of Meeting.		
11. Constitution / Deed of Trust / By Law If any of the document is unavailable, obtain declaration (letter/email) from customer to confirm which act is	CTC / Original Sighted	NA

complied to. Signed by Chairman/President and Secretary.		
12. Certificate of Registration issued by Registrar of Societies (ROS) / relevant authority / SSM search report.	Original Sighted	
13. Letter of Confirmation by ROS for confirmation of society established and the list of AJK. (Original signature and stamp by OIC from ROS / Relevant Authority.	Original Copy	
D. Government School / Kumpulan Sumbangan Wang Awam (SUWA)		
1. Universal Business Banking Application Form signed by all Authorised Signatories as per Letter of Authority - For BDS only	Original Copy	≤ 3 months
2. MyKad biometric verification printout of Authorised Signatories - For BDS & DBOS	Printed copy validated by Sales	≤ 3 months
3. Photocopy of MyKad of Authorised Signatories (Front & Back) - For BDS only	CTC / Original sighted	≤ 3 months
4. Photocopy of MyKad/Passport of all Office Bearers' who are not Authorised Signatories (Front & Back).		
5. Photocopy of MyKad/ MyKad Verification/ Passport of identified Beneficiary Owner who are not authorised signatories (Front & Back).		
6. Letter of Authorisation (similar to Resolution) indicating Intention to open an account and type of account, BizSmart application, Mandate to operate account. Original signatures of Chairman/President and Secretary.	Original Copy	≤ 3 months
7. Photocopy of the certificate of registration (if any).	Original sighted	NA
8. Letter of Authorisation from Ministry or relevant government authority permitting the opening of account	Original Copy	≤ 3 months
9. Lampiran AK52 Certified True Copy by the Jabatan Pelajaran Negeri / Ketua Pusat Tanggungjawab	Original Sighted	≤ 3 months
E. Non-Government Schools / Kindergarten		
14. Universal Business Banking Application Form signed by all Authorised Signatories as per Board Resolution - For BDS only	Original Copy	≤ 3 months
15. MyKad biometric verification printout of Authorised Signatories - For BDS & DBOS.	Printed copy validated by Sales	≤ 3 months
16. Photocopy of MyKad of Authorised Signatories (Front & Back) - For BDS only	CTC / Original sighted	≤ 3 months
17. Photocopy of MyKad/Passport of all Office Bearers' who are not Authorised Signatories (Front & Back).		
18. Photocopy of MyKad/ MyKad Verification/ Passport of identified Beneficiary Owner who are not authorised signatories (Front & Back).		
19. SSM search report or Certificate of Incorporation / Registration For Sabah & Sarawak If the school or kindergarten is registered under the state education department and does not have a SSM, a Letter of Authority is required from the	CTC/ Copy validated by Sales / Original Sighted Original Copy	≤ 3 months ≤ 3 months

state of education department / church / association consisting: a. Request to open account b. Mode of operation c. Appointment of Authorized Signatories		
20. Memorandum & Articles of Association (Prior 31 January 2017) or Constitution (If Any) (On/ after 31 January 2017) If customer does not have a Constitution, sales will annotate the reason i.e. customer is adopting the Company Act.	CTC	NA
21. Photocopy of the business license or registration from the Ministry of Education or relevant authorities	Original Sighted	NA
22. Resolution from Management Committee or board of Directors indicating ● Intention to open an account and type of account ● BizSmart application ● Mandate for operating the account	Original Copy	≤ 3 months
F. Parent Teacher Association / Persatuan Ibu Bapa dan Guru (PIBG)		
1. Universal Business Banking Application Form signed by all Authorised Signatories as per Board Resolution - For BDS only	Original Copy	≤ 3 months
2. MyKad biometric verification printout of Authorised Signatories - For BDS & DBOS.	Printed copy validated by Sales	≤ 3 months
3. Photocopy of MyKad of Authorised Signatories (Front & Back) - For BDS only	CTC/ Copy validated by Sales	≤ 3 months
4. Photocopy of MyKad/Passport of all Office Bearers' who are not Authorised Signatories (Front & Back).		
5. Photocopy of MyKad/ MyKad Verification/ Passport of identified Beneficiary Owner who are not authorised signatories(Front & Back).		
6. Certificate of Registration issued by Registrar of Societies (ROS). For Sabah & Sarawak, if the parent teacher association is registered under the state of education department and does not have a ROS, a letter of authority is required from the state of education department consisting:- a. Request to open account b. Mode of operation c. Appointment of authorized signatory	Original Sighted Original Copy	≤ 3 months ≤ 3 months
7. Letter of Confirmation by ROS for confirmation of society established and the list of AJK. (Original signature and stamp by OIC from ROS) with a validity period of ≤ 3 months.	Original Copy	≤ 3 months
A. Minutes of Meeting - signed by the Chairman/President and Secretary appointing the bank as their banker and indicating intention to open an account, type of account, BizSmart application and mandate for operating the account.	Original Sighted	≤ 3 months

B. Resolution from Management Committee or board of Directors indicating ● Intention to open an account and type of account ● BizSmart application ● Mandate to operate account *If information is complete in the Minutes of Meeting, Letter of Authorisation is not required.*	Original Copy	≤ 3 months
23. Appointment of Office Bearers if the information of the Office bearers are not available in the Minutes of Meeting.	Original Copy	≤ 3 months
24. Copy of the Constitution. Signed by Chairman/President and Secretary. If customer does not have a Constitution, sales will annotate the reason i.e. customer is adopting the Company Act.	CTC Original Copy	≤ 3 months ≤ 3 months
25. Letter of endorsement from the school's headmaster or principal confirming the affiliation and supporting the account opening.	Original Sighted	≤ 3 months

4.2 Below table are the proposed revision and refinement to the documents requirements and processes to enable a more seamless account opening.

Existing Documents / Process	Proposed Documents / Process	Proposed Validity Period
A. Housing Development		
Below are additional documents required to the existing documents required for a Sdn Bhd :- ● Copy of the approved layout plan ● Particulars of the land and proposed development (e.g. copy of the land title, types of building and number of units) ● Estimated total cost of construction of the housing development (i.e. development cost including land cost) certified by the architect or engineer in charge of the housing development ● Proposed selling price of each type of house ● Registered Land Title & Borang B1 ● Particulars of the professionals / consultants appointed (e.g. name, address, contact number and letter of appointment, etc.) ● Letter of Conditional of Approval from the National Housing Department/ Ministry of Housing & Local Government / Ministry of Housing Sarawak or the relevant authority. ● Template for bank to confirm on new account opened with details	As most of the documents are only available after approval is obtained from Ministry of Housing and local government but at the same time the developer is required to open a HDA account as a pre-requisite to apply for the license, to propose the below changes to the document required for account opening in addition to the existing documents for Sdn Bhd:- ● Letter of Conditional of Approval from the National Housing Department/ Ministry of Housing & Local Government / Ministry of Housing Sarawak or the relevant authority. ● Copy of letter Offer for facility with the Bank (if any). ● Template for bank to confirm on new account opened with details signed by SOM. **Note** : To open one account per project. The remaining documents listed below will be obtained by sales staff after the developer license is approved. ● Copy of the approved layout plan ● Particulars of the land and proposed development (e.g. copy of the land title, types of building and number of units) ● Estimated total cost of construction of the housing development (i.e. development cost including land cost) certified by the architect or engineer in charge of the housing development ● Proposed selling price of each type of house ● Registered Land Title & Borang B1 ● Particulars of the professionals / consultants appointed (e.g. name, address, contact number and letter of appointment, etc.)	≤ 3 months ≤ 3 months -
B. Trust and Legal Arrangement		
Current documents required to open account:- ● Trust agreement identifying the following individuals, Settlor, Protector, Trustee(s) and Beneficiaries ● Letter of Undertaking for opening of trustee account.	Documents remain unchanged but added the validity period. ● Trust agreement identifying the following individuals, Settlor, Protector, Trustee(s) and Beneficiaries ● Letter of Undertaking for opening of trustee account	No validity ≤ 3 months
C. Money Lender / Money Exchange / Pawn Shop		
No documents to determine if the organisation is legitimate.	In addition to the documents required for the respective entity, below document required to confirm the business is legit:-	

	26. To obtain a copy of a license to operate the business – Original Sighted. 27. To perform an independent check of the company with printscreen of the result page via the public portals;- d. Money lender : KPKT's mobile app i-KrediKom e. Money exchange : BNM website - https://www.bnm.gov.my/msb-operators f. Pawn shop : KPKT's mobile app i-Gadaian	No validity ≤ 3 months
D. Limited Liabilities Partnership (LLPs)		
Documents required ● Notice of Registration under Akta LLP 2012 ● Certificate of Incorporation	As most LLPs do not have the Certificate of Incorporation, the document required would be either one of the document:- ● Notice of Registration under Akta LLP 2012 ***or*** ● Certificate of Incorporation	N/A
E. Authorised Signatories		
Perform MyKad Biometric – Printed copy	As the staff name is not printed in the biometric printout, sales staff is required to validate the printout to indicate that the biometrics was conducted by sales staff. MyKad Biometric – Printed copy Validated by Sales – initial, date and name.	≤ 3 months
<u>Foreigner Authorised Signatories</u> Foreigners who are Authorised Signatories are required to provide the following documents: ● Valid passport (Expiry date not less than 6 months) and ● Valid work permit (Expiry date not less than 6 months) ● Social Visa or Visit Visa (If there is no valid work permit)	<u>Foreigner Authorised Signatories</u> To include APEC Business Travel Card (ABTC) as an alternative supporting document for business travellers or senior government officials under the ABTC scheme to work permit. To revise the validity of the work permit from 6 months to 3 months because the work permit can only be renewed 3 months to expiry. Foreigners who are Authorised Signatories are required to provide the following documents: ● Valid passport (Expiry date not less than 6 months) *and* ● Valid work permit (Expiry date not less than 3 months) <u>If no work permit, may provide</u> ● Social Visa or Visit Visa (Expiry date not less than 3 months) *or* ● APEC Business Travel Card (Expiry date not less than 3 months) If customer is in the process of renewing the above documents, request for supporting documents such as renewal application or temporary permit. Sales to followup with customer on the renewed document.	- ≤ 3 months ≤ 3 months ≤ 3 months ≤ 3 months

F. Foreign Authorised Signatories/ Directors/Shareholder		
There is no guideline in handling of Foreign Authorised Signatories/ Directors/ Shareholder who is assigned as Authorized signatory but does not have a valid working permit and does not receive any remuneration from the company.	If a foreign Authorised Signatories/ Director/ Shareholder without work permit is assigned as Authorized signatory, please follow the steps below : 1. If authorised signatories without work permit, sales to ascertain the reason and annotate (initial&date). 2. Advise customer to sign the Declaration letter to confirm the authorised signatories are not receiving remuneration from the company. 3. Seek approval for exception handling under the AA matrix and attached approval obtained.	≤ 3 months
G. Sdn Bhd		
There are companies that does not have a Constitution and adopt the Company Act instead. However, there is no guidelines on how to confirm which is adopted by the company.	Sales to confirm with customer If customer has a Constitution. To provide a copy if customer adopts the Constitution. If customer does not have a Constitution, sales will annotate the reason i.e. customer is adopting the Company Act.	-
H. Societies/ Associations/ Clubs		
1. Under item 5.4 Documentary requirements, MN1005 SOP for Conventional Business Deposit Product for Associations/ Clubs and Societies Registered with the Registrar of Societies (ROS), sales is required to perform a “Search” to confirm the registration. 2. Certificate of Registration	Proposed to remove the Search step as a Letter of Confirmation from ROS/ROY/SKM is obtained to confirm that the Associations/ Clubs and Societies are established including a list of the AJKs. To amend the validity period of the Certificate of Registration from 3 months to no validity as the document is not issued by customers.	≤ 3 months - No validity
I. Involuntary Liquidation		
To obtain a photocopy of MyKad/ MyKad Verification/Passport of identified Beneficiary Owner who are not Authorised Signatories (Front & Back)	It can be challenging obtaining information and photocopy of MyKad of the Beneficial owners (BOs) for companies under liquidation especially involuntary liquidation. Item 14A.5, AML SOP states that identity of BOs can be identified through independent and reliable sources which does not limit it to MyKad only. If sales staff failed attempt to obtain a copy of the MyKad, request for alternative documents such as driving license, passport, etc. If still unable to obtain any alternative documents and exhausting all means, below are the next steps:- <u>Photocopy of MyKad</u>	≤ 3 months

	<u>Involuntary Liquidation</u> Due to the circumstances, copy of MyKad will be exempted. <u>Voluntary Liquidation</u> To seek approval as per the Delegation of Authorized Approving Authority Matrix. <u>Information of BOs</u> Obtain information from SSM. If the BO is a foreigner, a search could be performed for SSM equivalent in other countries via website (attach printscreen of the search results). Only if information not available in SSM, may request for a declaration from Co Sec with information of the BOs. Sales staff to attach evidence of the negative search outcome as proof of necessary steps taken (if any).	
J. iMatch		
Not guidelines if staff can use the imatch results in DBOS if an account opening application is discontinued in DBOS and resume via BDS.	If an application is discontinued in DBOS and resume via BDS, the completed imatch screening via DBOS can be used for BDS account opening provided the screening is completed with a risk rating in DBOS and no change in information.	Within 14 days from the date of the imatch via DBOS
K. Minutes or Meeting and Letter Authorisation for Societies / Associations / Clubs and Professional Body		
Currently original signatures of appointed signatories are requested in the Letter of Authorisation and Minutes of Meeting.	Proposed to remove the requirement as the signatures of the appointed signatories are obtained via specimen signature document.	-
L. Account opening in Sabah		
<u>Sole Proprietor and General Partnership</u> 1. Latest Trading License – Original Sighted *To determine the business registration number* 2. Oldest Trading License – Original Sighted *To determine the date of incorporation*	<u>Sole Proprietor and General Partnership</u> 1. Latest Trading License – CTC by local authority (Expiry date not less than 3 months) *To determine the business registration number* 2. Oldest Trading License – CTC by local authority *To determine the date of incorporation*	≤ 3 months ≤ 3 months
<u>Professional Bodies</u> No existing guidelines on how to obtain the incorporation date and business registration number for professional bodies in Sabah as most of the setup does not have a Trading license.	<u>Professional Bodies</u> <u>Date of incorporation</u> Sabah: To obtain a registration certificate or a confirmation letter/email from the respective authority i.e. Sabah Law Society, Cawangan Kawalan Amalan Perubatan Swasta (CKAPS) or Board of Valuers, Appraisers, Estate Agents and Property Managers (BOVAEP) confirming the incorporation date – original copy.	Approval / Confirmation letter : ≤ 3 months Registration Cert : N/A

<table>
<tr><td></td><td>
<table>
<tr><td></td><td>If unable to obtain the said documents, request a declaration letter from customer on the date of incorporation. Sales to annotate the reason for the declaration letter.

In addition to the declaration letter, perform an independent check of the company via the public portals with printscreen of the results which includes negative result.</td></tr>
<tr><td>West Malaysia & Sarawak</td><td>Registration Certificate or Approval letter from the respective authority such as Bar Council,
Malaysian Institute of Accountants, Malaysian medical Council, etc</td></tr>
</table>
<u>Business Registration</u>
<table>
<tr><td>Sabah</td><td>As trading license is not available, the business registration number will be based on the Practicing Certificate number.

If there are more than one partners, it will be based on the ‘Contact Person’ for the account opening.</td></tr>
<tr><td>West Malaysia & Sarawak</td><td>Business registration number is obtained from the Approval letter or Registration Certificate.</td></tr>
</table>
</td><td></td></tr>
<tr><td colspan="3">M. Accounts opening in Sarawak</td></tr>
<tr><td>Sole Proprietor and General Partnership
Business Extract AND Business Certificate – Original Sighted</td><td>To revise the document format to CTC as an independent source.
Sole Proprietor and General Partnership
Business Extract AND Business Certificate –CTC by local authority</td><td>N/A</td></tr>
<tr><td colspan="3">N. Letters from customers for account opening</td></tr>
<tr><td>There is no guidelines on how the letters are addressed by customers when submitting the letters.

The only existing guideline is available for Company Board Resolution in item 8 of 5.2.3 Streamlining Non-Individual Account Opening, MN1005 SOP for Conventional Business Deposit Product as below.

<table>
<tr><td>Account solicited by</td><td>Bank entity name in resolution</td></tr>
<tr><td>RM/ BWM</td><td>Alliance Bank / Alliance Islamic Bank</td></tr>
<tr><td>Walk In</td><td>Must be write in full i.e. Alliance Bank Malaysia</td></tr>
</table></td><td>To propose to standardise the existing guideline for Board Resolution to all letters addressed by customers to the Bank.

1. For account solicited by RM/BWMs, the letters (including board resolution) from customers will be addressed to Alliance Bank / Alliance Islamic Bank or any other variations to the name.

The letters (including board resolution) may or may not include an address, The address may be the head office address or the address in the sales staff’s name card. Under such circumstances, the account can be opened at <u>any</u> branches.</td><td>-</td></tr>
</table>

Berhad / Alliance Islamic Bank Berhad Branch name and address are not required in Board Resolution for account opening. If its is stated in the resolution, then the account can only be opened at the branch mentioned.	2. Alternatively, the letters (including board resolution) may be addressed to the branch where the account will be opened. The address is optional. If there is a branch name and/or address, the account can only be opened at the branch mentioned in the letter.	
N. Joint Account Opening for Solicitors		
There is no guidelines on opening a joint solicitor account under a court order.	Below are the steps to opening a joint solicitor account under a court order:- 1. Each law firm must have their own respective account with the bank. 2. Below are the <u>additional documents</u> to the documents listed for Professional Bodies in the BCA Document Checklist. ● Letter of Authorisation/Instruction issued by respective solicitor to open the joint account, making reference to the court order number. *(Original Copy signed by all partners of the Firm).* ● Copy of the Court Order. *(Original Sighted)* <u>Account creation in HOST</u> 1. The joint account for both the law firms will be under a new CIF. 2. The joint account name will be a combination of both the law firm name as stated in the Letter of Authorisation/Instruction. E.g. 'So & Co' and 'Chong & Co' will be 'So & Co and Chong & Co'. 3. The business registration number will be a combination of the main solicitor's (as stated in the Letter of Authorisation/Instruction) Practicing Certificate number. E.g. BC/R/861 and BC/N/6540 will be 861&6540. 4. Details of the Constitution code and Counterparty code is as below:- Constitution code: Constitution description: Solicitor client Constitution code: K CPC code: Type of Account: Domestic Other Entities n.i.e. — BNM Counterparty Code: 79 Type of Account: Foreign other Entities n.i.e. — BNM Counterparty Code: 99	
O. **Opening an account with multiple names**		

No guidelines on the above account type	1. To indicate in the Board Resolution the names of the account to be maintained at account level under alt name in ARBS (F15-Alt Name). 2. Next to the listing of names, include the type of account to open. 3. The accounts will be maintained under one CIF.	-

5.0 DETAILED RISK ASSESSMENT AND RISK MITIGATION MEASURES

No.	Risk Type	Risk Arising	Mitigation / Control
1	Communication Risk Ineffective communication channels may result in messages that are inconsistent with authorised responsibilities or established performance measures (e.g. failed transaction processing or process management arising from the miscommunication, etc.).	Failure to inform internal stakeholders regarding the checklist update may lead to inconsistent practice among account opening staff.	Email communication and briefing to all account opening staff will be conducted. Sales, Branch and SME Account Validation Team SOP will be updated.
2	Compliance Risk (External) Unintentional or negligent failure to meet professional obligation with respect to fiduciary and suitability requirements (e.g. non-compliance with regulatory requirements exposes the Bank to fines, penalties, sanctions, suspension of license, imprisonment, etc).	Failure to comply with existing regulatory reporting requirements.	There is a checker process for all accounts opened via DBOS.
3	Data Integrity Risk Loss of integrity in the maintenance of data such as incomplete or wrong data input may impact the decision-making process. This also includes loss of data due to virus infection, as well as the mis-management of error account and error correction.	Data input error by staff into the system.	Checker control in place to ensure the data entry by account opening staff in the DBOS system is as per the documents provided by the customer.
4	Record Maintenance Risk Ineffective maintenance and/or retention of internal records such as intellectual properties, customer applications and records (e.g. specimen signature not available for signature verification, files/records missing, outdated manuals, etc.). This includes records in both hard-copies and soft-copies (e.g. other electronic mediums).	Unable to access to data when system is inaccessible or loss of data should the data in system is corrupted.	The storage/retention of the hardcopies of all account opening and supporting documents is as per Policy on Retention of Data (MN0375).
5	System Access Risk Unauthorized access to any system hardware/software and data (e.g. sharing password, user given end-to-end accesses, etc.).	Unauthorized access to the system	NA

6	Cyber Risk Any risk of financial loss, disruption or damage to the reputation of the bank from some sort of failure of its Information System as a result of an attack from the cyber world.	Loss of data or data inaccessible due to cyber-attack.	NA
7	Reconciliation Risk Inefficient or lack of reconciliation process exposes the Bank to the risk of loss that may not be able to account for (e.g. unreconciled stock of items of value, accounting error, unreconciled entries, etc.)	Execution, delivery and process management	NA

8.0 COMPLIANCE and REGULATORY RISK

No	Risk Arising	Mitigating Measures	PIC
1.	Non-compliance with FATCA requirements	Customer is required to make FATCA declaration at point of account opening.	Frontline staff
2.	Non-compliance with Internal Blacklist	iMatch screening is completed for AML, IBL and Dcheqs.	Frontline staff
3.	Non-compliance with AMLA regulatory requirements	iMatch screening is completed for AML, IBL and Dcheqs. Documents required for account opening are in line with the BNM and the bank CDD requirement.	Frontline staff
4.	Non-compliance with Personal Data Protection (PDPA) Act	NA	
5.	Record retention policy	All documents with customer's information are kept in a sealed box and periodically sent to Crown (Vendor).	Branch Officer
6.	Outsourcing	NA	
7.	Management of Customer Information and Permitted Disclosures (MCIPD)	Controls are in place and documented in the MCIPD SOP.	Branch Officer
8.	Non-compliance to RMiT regulatory requirements	NA	

No.	BNM Policy	Not Applicable/Not Applicable	Remarks
1.	Introduction to New Product	NA	
2.	Outsourcing	NA	
3.	Risk Management Information Technology (RMiT)	NA	

4.	e-KYC	NA	This is an internal change of processes and is not related to e-KYC.
5.	Management of Customer Information and Permitted Disclosures (MCIPD)	Applicable	Controls are in place and documented in the MCIPD SOP
6.	Non-compliance with AMLA regulatory requirements.	Applicable	iMatch screening is completed for AML, IBL and Dcheqs.

9.0 Standard Operating Procedures (SOP)

Sales, Branch and SME Account Validation Team to incorporate this new process in their SOP within 2 months from the approval of this memo. In the absence of SOP, this memo will take precedence.

10.0 Recommendation

As per “Purpose” above.

Prepared by:

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Arnold Raj
Assistant Vice President,
Customer Excellence
Date: 6 Sep 2024

Reviewed by:

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Sharon Woo Kar Wei
Head, Customer Experience
Date: 6 Sep 2024

Reviewed by:

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Karen Kong Sei Yuen
Risk & Compliance Officer,
GSME
Date:

Concurred by:

……..
Sean Boon Zee Jiun
Head, Deposit Sales
Banca & FX
Date:

Concurred by:

……
Wong Kwai May
Head, Product Strategy &
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